

04 Aug 2026 02:35:27 ET | 15 pages

Murata (6981.T)

Maintaining Buy - plenty of upside following recent correction

CITI'S TAKE

We maintain our Buy rating but lower our target price to ¥11,000 from ¥15,000, reflecting changes in our valuation assumptions (including the risk premium to 3.3% from 3.0%), although we raise our earnings forecasts. The share price continues to correct after market expectations for AI server-related business adjusted and the company's upward revision was in line with consensus. However, we view the company's consideration of cost pass-through and price adjustments for certain distributors as new positives. While we see few near-term catalysts, our view remains unchanged regarding sustainable growth through the aforementioned pass-throughs and an increasing AI server-related weighting, and we see the stock as undervalued relative to medium-term earnings.

MLCC outlook — AI server MLCC sales/profits increased in April-June, with the BB ratio reaching a historical high (albeit including long-lead-time products). While costs are rising, margins continue to widen via operating rates and product mix improvements. Regarding price hikes, the firm appears to be considering 1) pass-through of energy costs and rising material prices, 2) areas where competitors have raised prices, and 3) certain distributors. While these would not be price hikes driven by supply-demand, we are approaching a situation where price hike benefits could exceed our previous assumptions. We estimate the company's distributor sales weighting at just over 10%.

OP forecasts — We lift our OP forecasts to ¥460bn from ¥440bn for FY3/27 (+63.2% YoY), ¥660bn from ¥630bn for FY3/28 (+43.5%), and ¥810bn from ¥800bn for FY3/29 (+22.7%), revising our forward forex assumption to ¥155/\$ from ¥160/\$. While yen appreciation is negative for profits (forex sensitivity: ¥4.5bn/year per ¥1/\$ change), the main drivers of our upward revision are the improved outlook for the MLCC ASP (\$) from just over +8% YoY to just over +10% for FY3/27 and from +c10% to just over +15% for FY3/28, driven by an improved product mix, material cost pass-through, and pricing actions for certain distributors.

Buy

Price (03 Aug 26 15:30)	¥7,161.0
Target price	¥11,000.0↓ from ¥15,000.0
Expected share price return	53.6%
Expected dividend yield	1.0%
Expected total return	54.6%
Market Cap	¥13,036,691M US\$82,944M

Price Performance (RIC: 6981.T, BB: 6981 JP)



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Consol.	Sales		OP		Pretax Profit		NP		EPS		PE
	¥M	YOY (%)	¥M	YOY (%)	OPM (%)	¥M	YOY (%)	¥M	YOY (%)	¥	X
3/25A	1,743,352	6.3	279,702	29.8	16.0	304,404	27.2	233,818	29.3	125	57.4
3/26A	1,830,856	5.0	281,835	0.8	15.4	308,643	1.4	233,920	0.0	127	56.4
3/27CE	1,960,000	7.1	380,000	34.8	19.4	390,000	26.4	293,000	25.3	161	44.5
3/27CRE	2,110,000	15.2	430,000	52.6	20.4	451,000	46.1	338,000	44.5	186	38.6
3/27E	1,952,190	6.6	440,000	56.1	22.5	450,000	45.8	346,900	48.3	191	37.6
3/27RE	2,058,870	12.5	460,000	63.2	22.3	481,000	55.8	367,912	57.3	202	35.4
3/28E	2,277,200	16.6	630,000	43.2	27.7	640,000	42.2	493,200	42.2	271	26.4
3/28RE	2,320,700	12.7	660,000	43.5	28.4	681,000	41.6	524,700	42.6	288	24.8
3/29E	2,460,700	8.1	800,000	27.0	32.5	810,000	26.6	624,100	26.5	343	20.9
3/29RE	2,530,300	9.0	810,000	22.7	32.0	831,000	22.0	640,200	22.0	352	20.4

A: Actuals, E: Citi Research Ests, CE: Co. Ests, RE: Citi Research Revised Ests, CRE: Co. Revised Ests, NA: Not Available, NM: Not Meaningful

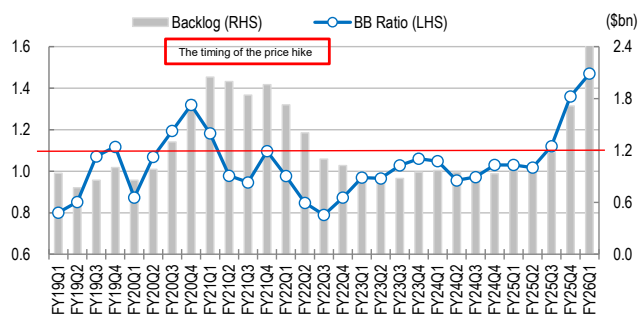
See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

6981.T: Fiscal year end 31-Mar						Price: ¥7,161.0; TP: ¥11,000.0; Market Cap: ¥13,036,691m; Recomm: Buy					
Profit & Loss (¥m)	2025	2026	2027E	2028E	2029E	Valuation ratios	2025	2026	2027E	2028E	2029E
Sales revenue	1,743,352	1,830,856	2,058,870	2,320,700	2,530,300	PE (x)	57.4	56.4	35.4	24.8	20.4
Cost of sales	-1,025,650	-1,056,030	-1,102,687	-1,160,700	-1,240,300	PB (x)	5.2	4.8	4.4	3.9	3.4
Gross profit	717,702	774,826	956,183	1,160,000	1,290,000	EV/EBITDA (x)	26.8	26.3	18.8	13.8	11.4
Gross Margin (%)	41.2	42.3	46.4	50.0	51.0	FCF yield (%)	2.0	0.8	1.9	3.6	4.1
EBITDA (Adj)	453,037	460,047	641,585	860,000	1,010,000	Dividend yield (%)	0.8	0.9	1.0	1.1	1.1
EBITDA Margin (Adj) (%)	26.0	25.1	31.2	37.1	39.9	Payout ratio (%)	46	51	35	28	23
Depreciation	-173,335	-178,212	-181,585	-200,000	-200,000	ROE (%)	9.1	8.8	13.0	16.7	17.9
Amortisation	0	0	0	0	0	Cashflow (¥m)	2025	2026	2027E	2028E	2029E
EBIT (Adj)	279,702	281,835	460,000	660,000	810,000	EBITDA	453,037	460,047	641,585	860,000	1,010,000
EBIT Margin (Adj) (%)	16.0	15.4	22.3	28.4	32.0	Working capital	30,505	-61,198	-42,852	-23,767	-75,456
Net interest	24,593	26,793	20,975	20,975	20,975	Other	-32,482	-48,987	-93,321	-136,533	-171,033
Associates	0	0	0	0	0	Operating cashflow	451,060	349,862	505,412	699,700	763,511
Non-Op/Except/Other Adj	109	15	25	25	25	Capex	-180,471	-247,778	-256,022	-230,000	-230,000
Pre-tax profit	304,404	308,643	481,000	681,000	831,000	Net acq/disposals	0	0	0	0	0
Tax	-71,431	-74,862	-113,388	-156,600	-191,100	Other	-27,599	-58,743	0	0	0
Extraord./Min.Int./Pref.div.	845	139	300	300	300	Investing cashflow	-208,070	-306,521	-256,022	-230,000	-230,000
Reported net profit	233,818	233,920	367,912	524,700	640,200	Dividends paid	-106,155	-122,796	-132,246	-148,989	-145,623
Net Margin (%)	13.4	12.8	17.9	22.6	25.3	Financing cashflow	-242,733	-208,152	-218,426	-235,168	-231,803
Core NPAT	233,818	233,920	367,912	524,700	640,200	Net change in cash	2,296	-164,811	30,964	234,532	301,708
Per share data	2025	2026	2027E	2028E	2029E	Free cashflow to s/holders	270,589	102,084	249,390	469,700	533,511
Reported EPS (¥)	124.6	127.0	202.1	288.3	351.7						
Core EPS (¥)	124.6	127.0	202.1	288.3	351.7						
DPS (¥)	57.0	65.0	70.0	80.0	80.0						
CFPS (¥)	240.5	190.0	277.7	384.4	419.4						
FCFPS (¥)	144.3	55.4	137.0	258.0	293.1						
BVPS (¥)	1,385.8	1,493.6	1,623.0	1,829.4	2,101.1						
Wtd avg ord shares (m)	1,876	1,841	1,820	1,820	1,820						
Wtd avg diluted shares (m)	1,876	1,841	1,820	1,820	1,820						
Growth rates	2025	2026	2027E	2028E	2029E						
Sales revenue (%)	6.3	5.0	12.5	12.7	9.0						
EBIT (Adj) (%)	29.8	0.8	63.2	43.5	22.7						
Core NPAT (%)	29.3	0.0	57.3	42.6	22.0						
Core EPS (%)	30.2	1.9	59.1	42.6	22.0						
Balance Sheet (¥m)	2025	2026	2027E	2028E	2029E						
Cash & cash equiv.	625,148	653,701	772,078	1,094,022	1,483,142						
Accounts receivables	294,419	328,159	369,028	371,312	404,848						
Inventory	482,833	520,472	535,306	580,175	632,575						
Net fixed & other tangibles	1,183,727	1,300,883	1,375,320	1,405,320	1,435,320						
Goodwill & intangibles	40,647	59,563	59,563	59,563	59,563						
Financial & other assets	401,420	336,321	336,321	336,321	336,321						
Total assets	3,028,194	3,199,099	3,447,616	3,846,713	4,351,769						
Accounts payable	69,617	79,798	92,649	116,035	126,515						
Short-term debt	781	1,745	1,745	1,745	1,745						
Long-term debt	1,656	1,516	1,516	1,516	1,516						
Provisions & other liab	376,165	398,230	398,230	398,230	398,230						
Total liabilities	448,219	481,289	494,140	517,526	528,006						
Shareholders' equity	2,580,805	2,718,743	2,954,409	3,330,120	3,824,696						
Minority interests	-830	-933	-933	-933	-933						
Total equity	2,579,975	2,717,810	2,953,476	3,329,187	3,823,763						
Net debt (Adj)	-622,711	-650,440	-768,817	-1,090,761	-1,479,881						
Net debt to equity (Adj) (%)	-24.1	-23.9	-26.0	-32.8	-38.7						

For definitions of the items in this table, please click [here](#).

Share price view — Our target price (¥11,000) equates to an FY3/29 PER of c29x. We consider this acceptable given the firm is in a phase of sustainable profit growth. Downside risks include a potential BB ratio peak for MLCCs. We believe Q1 results and orders included boosts from frontloaded demand ahead of price hikes and high-end smartphone seasonality changes. The BB ratio may decline at the Q2 results announcement. Nevertheless, we expect orders to remain at a high level and the share price to rise with as profit levels increase.

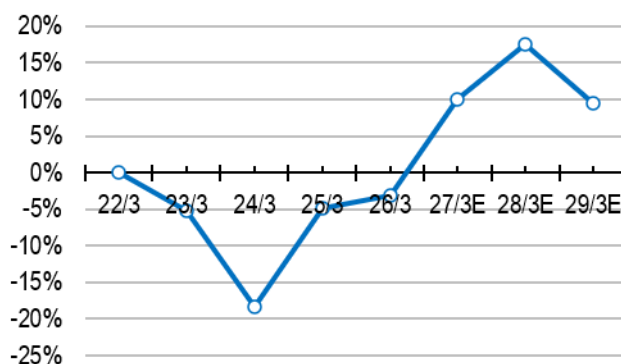
Figure 1. Murata's BB ratio and order backlog: BB ratio has reached historical high



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Source: Citi Research, Company data

Figure 2. Change in MLCC ASP (\$; our YoY assumptions)



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Source: Citi Research

Figure 3. Murata: Income statement

	23/3	24/3	25/3	26/3	27/3	28/3	29/3	27/3	28/3	29/3
(¥bn)	FY	FY	FY	FY	FYE new	FYE new	FYE new	FYE old	FYE old	FYE old
Sales	1,686.8	1,640.2	1,743.4	1,830.9	2,058.9	2,320.7	2,530.3	1,952.2	2,277.2	2,460.7
YoY (%)	-6.9%	-2.8%	6.3%	5.0%	12.5%	12.7%	9.0%	6.6%	16.6%	8.1%
Operating Profit	297.9	215.4	279.7	281.8	460.0	660.0	810.0	440.0	630.0	800.0
YoY (%)	-29.8%	-27.7%	29.8%	0.8%	63.2%	43.5%	22.7%	56.1%	43.2%	27.0%
OPM	17.7%	13.1%	16.0%	15.4%	22.3%	28.4%	32.0%	22.5%	27.7%	32.5%
Earnings before Taxes	314.9	239.4	304.4	308.6	481.0	681.0	831.0	450.0	640.0	810.0
Income Taxes	61.5	59.1	71.4	74.9	113.4	156.6	191.1	103.5	147.2	186.3
Effective Tax Rate	19.5%	24.7%	23.5%	24.3%	23.6%	23.0%	23.0%	23.0%	23.0%	23.0%
Net Profit	253.7	180.8	233.8	233.9	367.9	524.7	640.2	346.9	493.2	624.1
R&D Expense	124.2	132.5	149.3	158.9	174.9	170.0	150.0	150.0	150.0	150.0
% of Sales	7.4%	8.1%	8.6%	8.7%	8.5%	7.3%	5.9%	7.7%	6.6%	6.1%
Depreciation	161.3	175.9	173.3	178.2	181.6	200.0	200.0	172.0	200.0	200.0
Capital Expenditure	208.1	219.5	180.5	247.8	256.0	230.0	230.0	270.0	230.0	230.0
Cash Flow	415.0	356.7	407.2	412.1	549.5	724.7	840.2	518.9	693.2	824.1
Free Cash Flow	206.9	137.2	226.7	164.4	293.5	494.7	610.2	248.9	463.2	594.1

Source: Company data, Citi Research

Figure 4. Murata: Quarterly income statement

	FY26/3				FY27/3			
(¥bn)	Q1A	Q2A	Q3A	Q4A	Q1A	Q2E	Q3E	Q4E
Sales	416.2	486.6	467.5	460.6	502.3	506.8	525.1	524.8
QoQ (%)	1.0%	16.9%	-3.9%	-1.5%	9.0%	0.9%	3.6%	-0.1%
YoY (%)	-1.3%	5.4%	4.3%	11.8%	20.7%	4.1%	12.3%	13.9%
Operating Profit	61.6	103.5	37.9	78.8	98.5	136.3	127.0	98.2
YoY (%)	-7.2%	12.8%	-50.2%	73.1%	59.8%	31.7%	235.3%	24.6%
OPM	14.8%	21.3%	8.1%	17.1%	19.6%	26.9%	24.2%	18.7%
Earnings before Taxes	62.3	112.5	49.5	84.4	109.2	136.3	137.2	98.2
Income Taxes	12.7	29.8	24.6	7.9	27.9	31.3	31.6	22.6
Effective Tax Rate	20.3%	26.5%	49.6%	9.3%	25.5%	23.0%	23.0%	23.0%
Net Profit	49.7	82.7	25.0	76.6	81.4	105.1	105.7	75.7
R&D Expense	39.8	38.2	37.9	43.0	44.9	44.0	44.0	42.0
% of Sales	9.6%	7.8%	8.1%	9.3%	8.9%	8.7%	8.4%	8.0%
Depreciation	42.0	42.6	44.3	49.3	45.6	45.0	45.0	46.0
Capital Expenditure	34.7	40.7	88.8	83.6	41.0	70.0	70.0	75.0
Cash Flow	91.7	125.3	69.3	125.9	127.0	150.1	150.7	121.7
Free cash Flow	57.0	84.6	-19.5	42.3	85.9	80.1	80.7	46.7

Source: Company data, Citi Research

Figure 5. Murata : Sales and OP by segment

	23/3	24/3	25/3	26/3	27/3	28/3	29/3	27/3	28/3	29/3
(¥bn)	FY	FY	FY	FY	FYE new	FYE new	FYE new	FYE old	FYE old	FYE old
Sales										
Passive components	914.2	933.8	1,033.1	1,159.7	1,404.4	1,616.0	1,794.0	1,311.6	1,592.2	1,743.2
Capacitors	738.8	753.5	831.8	936.4	1,159.3	1,366.0	1,535.0	1,080.6	1,352.2	1,496.2
Industrial EMI filters	175.3	180.3	201.3	223.3	245.1	250.0	259.0	231.0	240.0	247.0
Devices/modules	761.0	695.2	697.2	625.7	636.4	684.7	716.3	622.6	665.0	697.5
High frequency device & communications module	453.6	440.1	443.6	364.8	357.1	384.8	393.0	359.6	383.8	393.0
battery power supply	214.6	164.4	155.7	153.8	167.8	185.0	205.0	155.0	170.0	190.0
functional device	92.8	90.7	97.8	107.1	111.5	114.9	118.3	108.0	111.2	114.5
Other	11.7	18.0	13.1	15.2	18.1	20.0	20.0	18.0	20.0	20.0
Total	1,686.8	1,640.2	1,743.4	1,830.9	2,058.9	2,320.7	2,530.3	1,952.2	2,277.2	2,460.7
(YoY)										
Passive components	-7.1%	2.1%	10.6%	12.3%	21.1%	15.1%	11.0%	13.1%	21.4%	9.5%
Capacitors	-6.3%	2.0%	10.4%	12.6%	23.8%	17.8%	12.4%	15.4%	25.1%	10.6%
Industrial EMI filters	-10.5%	2.8%	11.7%	10.9%	9.7%	2.0%	3.6%	3.4%	3.9%	2.9%
Devices/modules	-6.6%	-8.6%	0.3%	-10.3%	-3.0%	7.6%	4.6%	-0.5%	6.8%	4.9%
High frequency device & communications module	-14.1%	-3.0%	0.8%	-17.8%	-9.5%	7.7%	2.1%	-1.4%	6.7%	2.4%
battery power supply	18.9%	-23.4%	-5.3%	-1.2%	8.9%	10.3%	10.8%	0.8%	9.7%	11.8%
functional device	-12.7%	-2.2%	7.9%	9.5%	4.1%	3.0%	3.0%	0.8%	3.0%	3.0%
Other	-0.4%	54.5%	19.4%	16.3%	18.9%	10.7%	0.0%	18.4%	11.1%	0.0%
Total	-6.9%	-2.8%	6.3%	5.0%	12.5%	12.7%	9.0%	6.6%	16.6%	8.1%
Business Profit										
Passive components	280.1	234.2	275.2	315.1	462.5	638.9	782.7	428.4	600.3	762.0
Devices/modules	20.6	-13.0	10.0	-26.5	3.6	26.1	32.3	17.6	34.7	43.0
Other	-2.8	-4.0	-5.4	-6.5	-6.1	-5.0	-5.0	-6.0	-5.0	-5.0
Total	297.9	215.4	279.7	281.8	460.0	660.0	810.0	440.0	630.0	800.0
OPM										
Passive components	30.6%	25.1%	26.6%	27.2%	32.9%	39.5%	43.6%	32.7%	37.7%	43.7%
Devices/modules	2.7%	-1.9%	1.4%	-4.2%	0.6%	3.8%	4.5%	2.8%	5.2%	6.2%
Other	-24.2%	-22.2%	-41.6%	-42.5%	-33.8%	-25.0%	-25.0%	-33.3%	-25.0%	-25.0%
Total	17.7%	13.1%	16.0%	15.4%	22.3%	28.4%	32.0%	22.5%	27.7%	32.5%

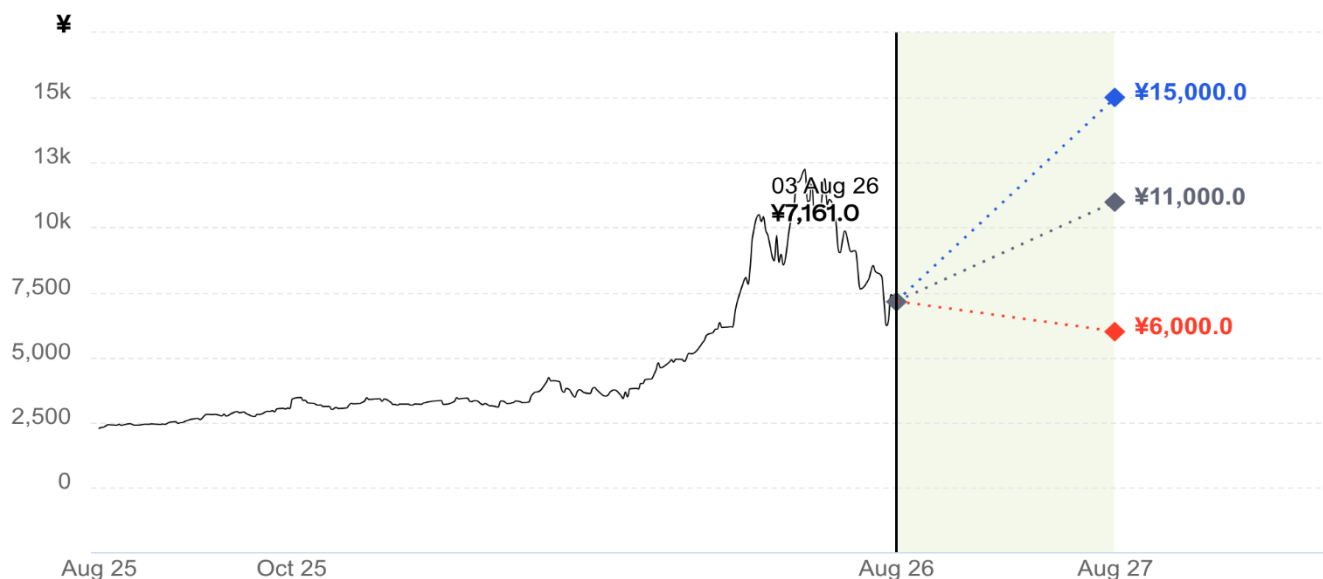
Source: Company data, Citi Research

Bull/Bear: Murata (6981.T)

¥ 15,000.0
▲ 109% Upside

¥ 11,000.0
▲ 54% Upside

¥ 6,000.0
▼ 16% Downside



Spread 126pp
Current Price and expected returns (upside/downside) as of 03 Aug 2026

BULL Assumptions

- Yen weakens to ¥165/\$
- Expectations for accelerated growth in AI server space
- Decides to make broad-based MLCC price hikes

BASE Assumptions

- MLCC capacity increase of 10%/year and firm decides on a further 20% increase
- Forex: ¥155/\$
- Gradual recovery in global smartphone demand

BEAR Assumptions

- Inventory adjustments in server applications
- Yen appreciation to ¥145/\$
- MLCC ASP stops rising

Murata

Investment strategy

We rate Murata Buy (1), with a target price of ¥11,000. As an electronic component global champion, the company continues to boast impressive profitability. At present we think MLCC growth could exceed market expectations thanks to continued growth in the AI server market. Although the delayed recovery in device modules is weighing slightly on earnings, we rate the shares Buy as we see them as undervalued relative to expectations for sustained growth.

Valuation

In setting our target prices for the electronic component industry, we employ a RoIC-WACC approach, taking net cash into consideration. We set a base year of FY3/29, assume an expected growth rate of 0% and a risk-free rate of 2.0%, and calculate an equity-risk premium of 3.3% from the recent TOPIX earnings yield.

Our ¥11,000 target price is derived as follows.

Theoretical shareholder value (= FY3/29E adjusted NOPAT x future business value multiplier + end-FY3/29E net cash [after deducting an amount equivalent to 5% of annual sales, including book value of investment securities] - end-FY3/29E minority interest)/(1 + WACC)^(number of months to end of valuation base FY/12).

Risks

Risks to our target price include 1) overall technology product demand trends, 2) server and automotive supply chain inventory adjustments, 3) rapid forex changes, 4) intensified competition on the emergence of new rivals in Asia, 5) renewed growth acceleration and market share trends in high-end smartphones, and 6) a change in MLCC supply-demand or price hikes.

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by “AC” in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global

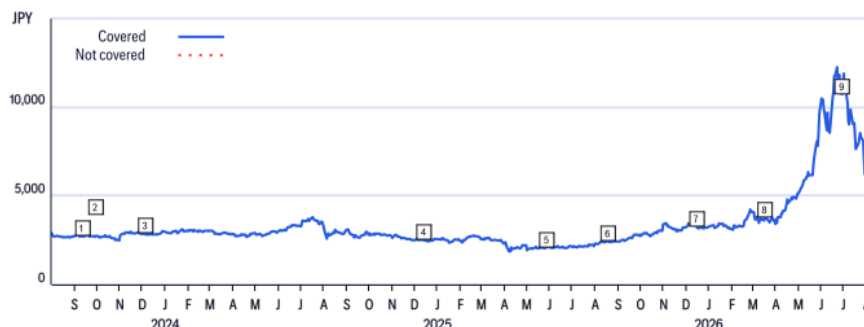
Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Murata (6981)

Ratings and Target Price History Fundamental Research

Analyst: Takayuki Naito



	Date	Rating	Target Price	Closing Price
1	12-Sep-23 02:05:15	2	*2,767	2,731
2	29-Sep-23 02:05:36	2	*2,800	2,734
3	06-Dec-23 01:05:00	2	*3,000	2,892

	Date	Rating	Target Price	Closing Price
4	13-Dec-24 01:35:00	2	*2,700	2,493
5	27-May-25 02:35:00	2	*2,200	2,081
6	18-Aug-25 02:35:00	2	*2,400	2,444

	Date	Rating	Target Price	Closing Price
7	15-Dec-25 02:24:12	2	*3,300	3,271
8	17-Mar-26 02:35:59	2	*3,900	3,802
9	29-Jun-26 02:35:48	*1	*15,000	10,740

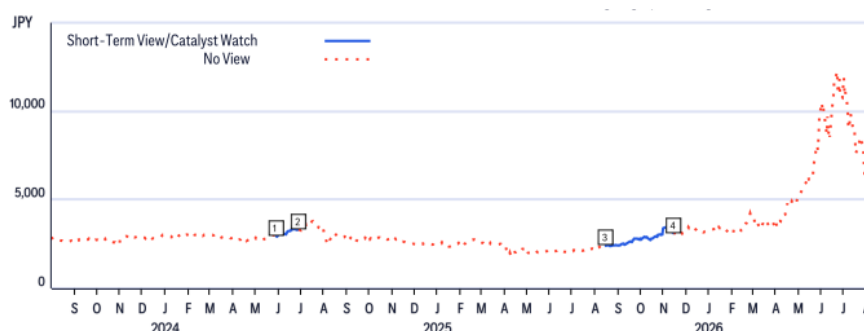
*Indicates Change

Rating/target price changes above reflect Eastern Time

Murata (6981)

Short-Term View/Catalyst Watch Research

Analyst: Takayuki Naito



	Date	Action	Expected Direction	Duration	Closing Price
1	29-May-24 22:05:00	Add CW	Upside	30 Days	2,945
2	28-Jun-24 12:05:20	Remove CW	Upside	30 Days	3,322

	Date	Action	Expected Direction	Duration	Closing Price
3	17-Aug-25 22:35:00	Add STV	Upside	90 Days	2,400
4	16-Nov-25 20:59:32	Remove STV	Upside	90 Days	3,109

CW - Catalyst Watch, STV - Short-Term View

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	Buy	Hold	Sell	Buy	Hold	Sell
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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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